

The orders came in from all over the country, many from average investors like you and me. When you told your broker to buy or sell you an option, this is where the transaction ended up.

These traders seemed more prosperous than their counterparts in the hog pits and corn pits, perhaps because of all the liquidity that was pouring in. For several minutes, I was transfixed by Mr. O'Hara. He wore loafers with no socks, a striped polo shirt and a jacket that didn't match. He was ebullient, even cocky, as he snapped up puts and calls. During a lull, he told me he'd been trading for his own account for two years and with no complaints. "Where else could a young guy come in with \$40,000 and start his own business, except at a hot-dog stand?"

Mr. O'Hara introduced me to a fellow trader, Tony Vesh, and said Mr. Vesh was a "scalper." It seemed to start an argument between them. "I'm no scalper," Mr. Vesh said. "I hold up my leg a lot longer these days. You know that." A "leg" turned out to be one side of an option spread position, such as my own. I asked Mr. O'Hara where he thought the price of Loews was going, and he didn't seem to know or care. His philosophy was simple: "Buy cheap and sell fat." To accomplish that, he relied on the same complicated mathematical formulas used by Mr. Gressel in New York, by Ms. Quattrocker in hog options, and, on a much higher level, by Mr. Ritchey upstairs.

When I wondered out loud if it were possible for an amateur like me to beat them at the options game, both Mr. O'Hara and Mr. Vesh laughed unroariously. "No way," said Mr. O'Hara. "We're down here and we get first dibs on all the profits." They thought of themselves as scavengers feasting on the easy pickings, leaving their competitors the bones and the gristle, or whatever else they hadn't bothered to consume. "You guys can have the risky stuff," said Mr. O'Hara. In the case of my Loews, this turned out to be sadly prophetic.

Loews hit a downdraft that was both severe and unexpected. Instead of soaring toward \$80, it fell toward \$50. In a single session, the stock price dropped \$4 and virtually wiped out the value of my calls. Meanwhile, the puts I'd sold—and eventually would have to buy back—got more and more expensive. This all happened the week my wife arrived in Chicago.